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POLICY NUMBER: **FP-FIN-004**

EQUITY SECURITIES

ACCOUNTING POLICY

The purpose of this policy is to provide comprehensive guidance regarding the accounting for Hilton Worldwide Holdings Inc.'s ("Hilton's") investments in equity securities in accordance with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standard Codification ("ASC") and U.S. Securities and Exchange Commission ("SEC").

POLICY STATEMENT

Hilton has equity interests in various investments globally. A majority of these investments are joint venture ownership interests in hotels.

The terms venture, investment, investee, partnership, and entity are used synonymously throughout this policy. Hilton internally refers to investments in entities that own or lease hotels as joint ventures, despite the investment not being truly defined as a joint venture. A determination of whether the investment represents a joint venture under the meaning as described within the **Definitions** section should be made at the time of the initial assessment.

SCOPE

This policy applies to all investments in equity (i.e., ownership) securities in which Hilton does not have a controlling interest (i.e., a majority of the voting interest) nor is considered to be the primary beneficiary of a variable interest entity, and therefore does not consolidate the entity. All investments must be evaluated under the variable interest entity and voting interest entity models first in order to make this determination. Refer to **FP-FIN-029 – Variable Interest and Voting Interest Entities Accounting Policy** for guidance.

APPLICABILITY

This policy applies to all Finance personnel, as well as Asset Management, Development, and Legal.

EXCLUSIONS/ EXCEPTIONS

This policy excludes investments in equity securities in entities consolidated under the variable interest model or voting interest model. Refer to **FP-FIN-029 – Variable Interest and Voting Interest Entities Accounting Policy** for guidance related to the accounting for investments that result in the consolidation of the underlying entity.

AUTHORIZATIONS

Required Consultations with Technical Accounting (“TA”)

TA must approve the accounting for the initial or additional investment in a venture or similar entity. Further, TA must be notified if any of the following occurs at its non-wholly owned investments, including consolidated and unconsolidated joint ventures:

- Amendment to the JV agreements (e.g., shareholder’s agreement, articles of incorporation)
- Additional contributions by existing equity investors that dilute Hilton’s interests
- Issuances of additional equity interests
- Sale or disposal of an equity interest by any equity investor
- Returns of equity to investors (e.g., distributions in excess of earnings) which Hilton plans to refund (e.g., to fund future hotel renovations)
- Non-pro rata returns of equity to investors
- Revisions to equity holders’ voting rights
- Execution, amendment, or termination of any commitments, from any party, to contribute capital or fund loans
- Appraisals or valuations obtained for equity interests or JV assets
- Significant curtailment of the entity’s existing activities through the sale of assets
- Lapse of any party’s rights to control, participate in or block significant decisions (e.g., a lapse of one party’s right to approve the operating budget) or to remove (i.e., kick-out) another party with the power to control any significant decisions
- Debt financings or refinancing, including shareholder loans
- Execution, amendment, or termination of any contracts with Hilton, including leases, management agreements, or franchise agreements
- Key money or other financial support provided to the entity by Hilton or any other party
- Bankruptcy

INITIAL RECOGNITION AND MEASUREMENT

a. *Evaluation of the Investment in an Equity Security*

Determining whether to account for an investment in an equity security at fair value or under the equity method is based on whether Hilton can exercise significant influence over the investee's operating and financial policies.¹ If Hilton can exercise significant influence over the investee, it should be accounted for under the equity method.

Determining the ability to exercise significant influence is not always clear and requires judgement. A direct or indirect investment in a corporation, or similar entity, of 20 percent or more of the voting stock of an investee has the presumption that, in the absence of predominant evidence to the contrary, significant influence can be exercised over an investee.² For partnerships, unincorporated joint ventures, or similar entities, this threshold is much lower at 3 to 5 percent.³ A limited liability company ("LLC") could be considered a similar entity to a corporate or a partnership, depending on whether the LLC maintains separate capital accounts for each investor. If the LLC does not maintain separate capital accounts for each investor, similar to the structure of a corporation, the LLC will be considered a corporation when determining the ability to exercise significant influence. If the LLC does maintain separate capital accounts for each investor, similar to the structure of a partnership, the LLC will be considered a partnership when determining the ability to exercise significant influence.⁴

If an investee has less than 20 percent ownership of the voting stock for corporations, and similar entities, or less than 3 to 5 percent ownership for partnerships, unincorporated joint ventures, and similar entities, there is not the presumption that the investee cannot exercise significant influence. Instead, all of the specific facts and circumstances must be considered in determining whether significant influence can be exercised.

Significant influence may be indicated in several ways, including, but not limited to, the following:

- Representation on the board of directors
- Participation in the policymaking processes
- Material, intra-entity transactions
- Interchange of managerial personnel
- Technological dependency and
- Extent of ownership by an investor in relation to the concentration of other shareholdings (e.g., partner in a limited partnership).⁵

The presumption that owning 20 percent or more of the voting stock of a corporation or similar entity or owning more than 3 to 5 percent of a partnership, unincorporated joint venture, or similar entity, grants significant influence over the investee's operating and financial policies may be overcome. Factors to consider in making this determination include, but are not limited to, the following:

- There is opposition by the investee, such as litigation or complaints to governmental regulatory authorities (e.g., hostile takeover attempt).
- Hilton and the investee sign an agreement under which Hilton surrenders significant rights as a shareholder.
- The majority ownership of the investee is concentrated among a small group of shareholders who operate the investee without regard to the views of Hilton.
- Hilton has requested and fails to obtain sufficient financial information from the investee in order to be able to apply the equity method.
- Hilton tries and fails to obtain representation on the investee's board of directors.⁶

Equity securities in which Hilton cannot exercise significant influence should be accounted for at fair value.⁷

¹ ASC 323-10-15-3, *Investments – Equity Method and Joint Ventures, Overall, Scope and Scope Exceptions*

² ASC 323-10-15-8, *Investments – Equity Method and Joint Ventures, Other Considerations – Significant Influence*

³ ASC 323-30-S99-1, *SEC Staff Guidance – SEC Staff Announcement: Accounting for Limited Partnership Investments*

⁴ ASC 323-30-35-3, *Investments, Partnerships, Joint Ventures and Limited Liability Entities, Subsequent Measurement*

⁵ ASC 323-10-15-6, *Investments – Equity Method and Joint Ventures, Overall, Scope and Scope Exceptions*

⁶ ASC 323-10-15-10 through 11, *Investments – Equity Method and Joint Ventures, Overall, Scope and Scope Exceptions*

⁷ ASC 321-10-35-1, *Investments – Equity Securities, Overall, Subsequent Measurement*

b. Equity Securities without Readily Determinable Fair Values

Equity securities where Hilton cannot exercise significant influence and cannot readily determine the fair value of the investment are initially measured at cost based on the cash paid or the fair market value of the consideration transferred as well as any transaction costs incurred to acquire the investment.⁸

c. Equity Method Investments

The investment balance under the equity method is initially measured at cost based on the cash paid or the fair market value of the consideration transferred as well as any transaction costs incurred to acquire the investment.⁹ Transaction costs include out-of-pocket costs or incremental costs directly related to acquiring the investment. Examples of such costs include finder's fees, fees paid to outside consultants for accounting and legal services, and appraisals. Any internal costs related to the acquisition of the investment should be expensed as incurred even if costs are incremental or directly related to the investment.

Contributions in the form of real estate or other hard assets should be recorded at fair value as of the date control of the asset is transferred, with the gain/loss on the asset being recognized on that date.¹⁰ Careful attention should be paid to the facts and circumstances of a capital contribution involving real estate and any subsequent withdrawals of cash from the venture as this may need to be considered when determining the gain/loss recognized.¹¹ Contributions of services are accounted for and recorded at their standalone selling price, refer to **FP-FIN-020 — Revenue Recognition Accounting Policy** for determining the standalone selling price of the contributed services.¹²

Basis Differences

When Hilton makes an investment that qualifies for equity method accounting and there is a difference in the cost basis of the investment and the proportional interest obtained in the investee, it causes a basis difference. The basis difference should be recorded in the same line item as the investment in the investee.¹³

SUBSEQUENT MEASUREMENT AND DERECOGNITION

a. Equity Securities with Readily Determinable Fair Values

Equity securities where Hilton cannot exercise significant influence but that have a readily determinable fair value will be subsequently measured at fair value.¹⁴ Refer to **FP-FIN-014—Fair Value Accounting Policy** for details on determining the fair value of an equity security.

b. Equity Securities without Readily Determinable Fair Values

The carrying value of equity securities without a readily determinable fair value will be adjusted for any impairment that is recognized related to the investment as well as any observable price changes in orderly transactions for the identical or similar investment of the same issuer.¹⁵ A reasonable effort must be made each reporting period to determine whether there was any observable, orderly transactions that Hilton may not be readily aware of. However, an exhaustive search for all observable price changes does not need to be conducted.¹⁶

Distributions

Any distribution received from the investee that is not a sale of Hilton's equity security will be accounted for as dividend income and included in earnings.

Sales and Partial Sales

Any sale of an equity security shall be accounted for as gains or losses equal to the difference at the time of sale between selling price and carrying amount of the investment sold (pro-rata carrying amount for partial sale).¹⁷

⁸ ASC 321-10-35-2, Investments – Equity Securities, Overall, Subsequent Measurement

⁹ ASC 323-10-30-2, Investments – Equity Method and Joint Ventures, Overall, Initial Measurement

¹⁰ ASC 610-20-32-2 and 32-4, Other Income – Gains and Losses from the Derecognition of Nonfinancial Assets, Measurement

¹¹ ASC 970-323-30-3, Real Estate - Investments, Equity Method and Joint Ventures, Initial Measurement

¹² ASC 970-323-30-6, Real Estate - Investments, Equity Method and Joint Ventures, Initial Measurement

¹³ ASC 323-10-35-13, Investments – Equity Method and Joint Ventures – Overall, Subsequent Measurement

¹⁴ ASC 321-10-35-1, Investments – Equity Securities, Overall, Subsequent Measurement

¹⁵ ASC 321-10-35-2, Investments – Equity Securities, Overall, Subsequent Measurement

¹⁶ ASC 321-10-55-8, Investments – Equity Securities, Overall, Implementation Guidance and Illustrations

¹⁷ ASC 321-10-40-1, Investments – Equity Securities, Overall, Derecognition

c. Equity Method Investments

In certain instances, Hilton's equity security maybe governed by a venture agreement designating different allocation amounts to investors for profits and losses, specific costs and expenses, cash distributions from operations and/or cash proceeds from liquidation. In such circumstances, accounting for the equity investee's profits and losses requires careful consideration of substance over form. To determine Hilton's share of the investment's profits and losses, it may be necessary to analyze how increases or decreases in net assets of the venture affect Hilton's underlying capital investment accounts. Stated another way, specified profit and loss allocation ratios based on ownership should not be used if the allocation of cash distributions and liquidating distributions are determined on some other basis.¹⁸ This will be evaluated based on the facts and circumstances at the time of initial investment and should be reassessed for any subsequent changes to the venture agreements.

Earnings and Losses

Hilton will recognize its share of the investee's earnings or losses in its consolidated statement of operations with an offsetting increase or decrease to the carrying amount of the investment, respectively, in the periods when they are reported by the investee in its financial statements rather than in the period when Hilton receives a cash distribution.¹⁹ The earnings or losses recognized by Hilton are adjusted for any basis differences that may exist (e.g., due to business combinations). Such an adjustment would include the amortization of any difference between Hilton's cost of the investment and the underlying equity in net assets of the investee at the date of the investment.²⁰

If financial statements of an equity method investee are not received timely for Hilton to apply the equity method in the current period, Hilton will record its share of the earnings or losses of the investee from the most recent available financial statements. Any lag in reporting should be consistent from period to period.²¹

When accounting for losses of an equity method investment, careful consideration should be given to whether Hilton has made a commitment to provide additional financial support to the investee. Losses in excess of the investment balance in which Hilton is required or has determined is probable to fund are reported as a liability or a negative investment.²² Refer to **FP-FIN-013 – Commitments and Contingencies Accounting Policy** for further guidance of the meaning of probable.

Distributions

Cash distributions received from an equity method investee serve to reduce the carrying amount of the investment in the investee.²³

Negative Investment Balances

If the carrying amount of the investment balance in an investee is reduced to zero due to losses and Hilton has not made a commitment to provide additional financial support to the investee, Hilton will discontinue applying the equity method to its investment.²⁴ Once the investment balance has been reduced to zero, any additional activity will be tracked separately and not recorded. Hilton will resume accounting for the investment under the equity method once the separately tracked activity results in a positive investment balance.²⁵

Sales and Partial Sales

The sale of an equity method investee, fully or partially, will be accounted for as a gain or loss equal to the difference at the time of sale between the selling price and the carrying amount of the investment sold or the pro-rata carrying amount for a partial sale.²⁶

If a partial sale of an equity method investment results in Hilton losing its ability to exercise significant influence over the investee's operating and financial policy, Hilton will discontinue recognizing its share of the earnings or losses of the investee and will prospectively account for its investment at fair value (i.e., the investment account balance will not be adjusted retroactively). Any earnings or losses that relate to the stock retained by Hilton that were previously recognized

¹⁸ ASC 970-323-35-17, *Real Estate – General, Investments and Equity Method and Joint Ventures, Subsequent Measurement*

¹⁹ ASC 323-10-35-4, *Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement*

²⁰ ASC 323-10-35-5, *Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement*

²¹ ASC 323-10-35-6, *Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement*

²² ASC 323-10-35-19 through 20, *Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement*

²³ ASC 323-10-35-17, *Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement*

²⁴ ASC 323-10-35-20, *Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement*

²⁵ ASC 323-10-35-22, *Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement*

²⁶ ASC 323-10-35-35, *Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement*

would remain as part of the carrying amount of the investment.²⁷ If the fair value is not readily determinable refer to the **Equity Securities without Readily Determinable Fair Value** section above for further details.

Basis Differences

Any basis difference caused by the difference between the book value and the fair value of an asset is amortized on a straight-line basis over the life of the underlying asset that gave rise to the basis difference.²⁸ Refer to **FP-FIN-001—Fixed Asset Accounting Policy** for details regarding the amortization of assets.

d. Impairment

Quarterly and annually, Hilton assesses its investments in equity securities for impairment. Refer to **FP-FIN-033 – Impairment Accounting Policy** for details.

e. Increases in Ownership

If Hilton increases its level of ownership such that an equity security would now qualify as an equity method investment, Hilton will add the cost of acquiring the additional interest in the investee to the current carrying value of Hilton's investment and will apply the equity method accounting described in the **Equity Method Investments** section prospectively.²⁹

If an increase in Hilton's level of ownership in an equity method investee results in a controlling interest, Hilton should discontinue the use of the equity method and begin consolidating the investment as of the date control was obtained. No retrospective adjustment should be made for periods in which Hilton did not consolidate the investee. Hilton should remeasure its equity security to fair value and recognize any gain or loss between the fair value and previous carrying value in current period earnings.³⁰

PRESENTATION

Distributions received from investees that are considered a return on investment should be reported as cash inflows from operating activities on the Consolidated Statement of Cash Flows.³¹ Distributions received from investees that are considered a return of investment should be reported as cash inflows from investing activities on the Consolidated Statement of Cash Flows.³²

There are two methods to determine whether distributions received from an investee are returns on or returns of the investment: the cumulative earnings approach or the nature of the distribution approach. Hilton has elected to apply the cumulative earnings approach to all distributions received from an investee. Under the cumulative earnings approach, distributions received are considered returns on investment unless the cumulative distributions received less the distributions received in prior periods determined to be returns of investment exceed the cumulative equity in earnings recognized by Hilton. Any excess is considered a return of investment.³³

²⁷ ASC 321-10-30-1, *Investments - Equity Securities, Overall, Initial Measurement*

²⁸ ASC 323-10-35-5, *Investments – Equity Method and Joint Ventures – Overall, Subsequent Measurement*

²⁹ ASC 323-10-35-33, *Investments – Equity Method and Joint Ventures, Overall, Subsequent Measurement*

³⁰ ASC 805-10-25-10, *Business, Overall, Recognition*

³¹ ASC 230-10-45-16, *Statement of Cash Flows, Overall, Other Presentation Matters*

³² ASC 230-10-45-12, *Statement of Cash Flows, Overall, Other Presentation Matters*

³³ ASC 230-10-45-21D, *Statement of Cash Flows, Overall, Other Presentation Matters*

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy. For all transactions that require a consultation with TA, please defer to the guidance provided by TA regarding the appropriate financial statement line items affected by the transaction.

Transaction	Affected		
	Balance Sheet Line Item	Income Statement Line Item	Cash Flow Statement Section
Purchase of an equity security	- Other Assets (debit) - Cash (credit)	- N/A	- Investing Activities (outflow)
Non-Equity Method - Increase in the fair value of an equity security	- Other Assets (debit)	- Other non-operating income (loss), net (credit)	- Operating Activities (reconciling item to net income)
Non-Equity Method - Decrease in the fair value of an equity security	- Other Assets (credit)	- Other non-operating income (loss), net (debit)	- Operating Activities (reconciling item to net income)
Equity Method - Return on investment distribution	- Cash (debit) - Other Assets (credit)	- N/A	- Operating Activities (inflow)
Non-Equity Method – Return on investment distribution	- Cash (debit)	- Other non-operating income (loss), net (credit)	- Operating Activities (inflow)
Return of investment distribution	- Cash (debit) - Other Assets (credit)	- N/A	- Investing Activities (inflow)
Sale of an equity security	- Cash (debit) - Other Assets (credit)	- Other non-operating income (loss), net (debit/credit)* *If applicable.	- Investing Activities (inflow)
Equity Method – To account for profits from an investment (positive investment balance)	- Other Assets (debit)	- Other non-operating income (loss), net (credit)	- Operating Activities (reconciling item to net income)
Equity Method – To account for losses from an investment (positive investment balance)	- Other Assets (credit)	- Other non-operating income (loss), net (debit)	- Operating Activities (reconciling item to net income)
Equity Method – To account for losses from an investment (negative investment balance)	- N/A* *Investment balance tracked off-line.	- N/A	- N/A
Equity Method – Amortization of step-up basis differences	- Other Assets (credit)	- Other non-operating income (loss), net (debit)	- Operating Activities (reconciling item to net income)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

- [FP-FIN-001 – Fixed Asset Accounting Policy](#)
- [FP-FIN-013 – Commitments and Contingencies Accounting Policy](#)
- [FP-FIN-014 - Fair Value Accounting Policy](#)
- [FP-FIN-020 – Revenue Recognition Accounting Policy](#)
- [FP-FIN-029 – Variable Interest and Voting Interest Entities Accounting Policy](#)
- [FP-FIN-033 – Impairment Accounting Policy](#)

TERM / ACRONYM	DEFINITION
Equity Security	Any security representing an ownership interest in an entity (e.g., common, preferred, or other capital stock) or the right to acquire (e.g., warrants, rights, forward purchase contracts, and call options) or dispose of (e.g., put options and forward sale contracts) an ownership interest in an entity at fixed or determinable prices. The term equity security does not include any of the following: - Written equity options as they represent obligations of the writer, not investments. - Cash-settled options on equity securities or options on equity-based indexes as those instruments do not represent ownership interests in an entity. - Convertible debt or preferred stock that by its terms either must be redeemed by the issuing entity or is redeemable at the option of the investor.
Joint Venture	An entity owned and operated by a small group of entities as a separate and specific business or project for the mutual benefit of the members of the group. The purpose of a joint venture is frequently to share risks and rewards and is usually an arrangement where each joint venturer may participate in the overall management of the joint venture. A joint venture is not limited to corporate entities.
Orderly Transaction	A transaction that assumes exposure to the market for a period before the measurement date to allow for marketing activities that are usual and customary for transactions involving such assets or liabilities. It is not a forced transaction (e.g., a forced liquidation or distress sale).
Readily Determinable Fair Value	An equity security has a readily determinable fair value if any of the following conditions are met: - Sales prices or bid-and-asked quotations are currently available on a securities exchange registered with the SEC or in the over-the-counter-market. Restricted stock meets this definition if the restriction terminates within one year. - The equity security trades in a foreign market that is of the breadth and scope comparable to one of the U.S. markets. - The equity security is an investment in a mutual fund or in a structure similar to a mutual fund and the fair value per share (unit) of the mutual fund or similar structure is determined and published and is the basis for current transactions.
Significant Influence	The ability to exercise significant influence over operating and financial policies of an investee may be indicated in several ways, including representation on the board of directors, participation in policy-making processes, material intra-entity transactions, interchange of managerial personnel, technological dependency, and the extent of ownership by an investor in relation to the concentration of other shareholdings. Substantial or majority ownership of the voting stock of an investee by another investor does not necessarily preclude the ability to exercise significant influence by the investor.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
Technical_Accounting@hilton.com	The email represents the TA contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the TA team or the listed email.